Annual Report and Form 20-F 2024

IHG
HOTELS & RESORTS

True Hospitality for Good

Introduction

Welcome to IHG® Hotels & Resorts

In this year's report...

IHG® Hotels & Resorts is a global hospitality company with 19 hotel brands, one of the industry's largest loyalty programmes, over 6,600 open hotels in more than 100 countries, and a further 2,200 hotels in our development pipeline.

Additional Information

The Strategic Report on pages 4 to 110 was approved by the Board on 17 February 2025.

Nicolette Henfrey
Company Secretary

Keep up to date and find out more at:
ihgplc.com/en/investors

2024 in review

We have delivered an excellent financial performance alongside strong system and pipeline growth, while providing value for all our stakeholders.

More on page 8.

Chair's statement

"The business is united behind an evolved strategy designed to deliver at pace strategic objectives that drive performance and growth of our brands, while creating value for all IHG stakeholders."

Deanna Oppenheimer
Non-Executive Chair

114.4¢
Final dividend proposed for 2024 (2023: 104.0¢)

167.6¢
Total dividend proposed for 2024 (2023: 152.3¢)

>$1bn
returned to shareholders through share buyback programme (completed in December 2024) and ordinary dividends

$900m
share buyback programme approved for 2025

Our commitment to evolve, adapt and drive continuous improvement is central to the organisation's long-term success, and in 2024 important progress was made to further strengthen IHG Hotels & Resorts for guests, hotel owners, colleagues and shareholders.

Spanning more than 100 countries, IHG is part of a vibrant travel and tourism industry sitting at the heart of economic growth plans globally, with our brands embedded in high-value markets and segments and supported by a talented workforce getting the most out of IHG's global and local approach. A truly international footprint offers great potential, which has again been capitalised on during 2024 with the further expansion of our brands, continued RevPAR growth and the delivery of a strong financial performance amid a competitive and complex global landscape.

In what was his first full year as Group CEO, Elie Maalouf has brought great clarity to ensuring the organisation is focused on realising IHG's full potential. The business is united behind an evolved strategy designed to deliver at pace strategic objectives that drive performance and growth of our brands, while creating value for all IHG stakeholders. On behalf of the Board, I would like to congratulate Elie and his leadership team for delivering success across so many fronts this year.

A key element of our progress has been strong colleague engagement with our strategic priorities, which was reflected in various forms of feedback, including IHG's Colleague HeartBeat survey and the work of our designated Voice of the Employee Non-Executive Director.

IHG's strategy is being applied to an asset-light, fee-based, predominantly franchised business model that enables us to remain agile to adapt by market, while at the same time building global scale, attracting millions of guests and fostering long-standing relationships with thousands of owners.

Crucially, it is a model that is highly cash generative, which enables reinvestment in key areas of IHG's enterprise to drive demand for our brands and returns for owners, create a rewarding culture for colleagues, and deliver on our commitment to shareholder returns.

The benefits of this approach can be seen through the transformation of the business in recent years and in 2024, we continued to take important steps towards creating an even stronger IHG. This included growing our brands, creating even more rewarding and personalised guest experiences, delivering a compelling loyalty offer, and growing ancillary fee revenues, such as our US co-brand IHG® One Rewards credit cards. As ever, our focus has also remained steadfast on helping our hotel owners run an efficient business with strong returns, and we put great importance on regular dialogue and close collaboration with them, including through the IHG Owners Association.

Our scale also provides a valuable platform to grow responsibly so that we can give back to the communities in which we operate and look after the world around us. Guided by our purpose of delivering True Hospitality for Good, our commitment to care is woven into the fabric of the business and is of increasing importance to all our stakeholders, so I was proud to see us make further progress against our Journey to Tomorrow responsible business plan during the year.

The role of the Board

Against an ever-changing global backdrop, strong governance is fundamental to the success of any business, as is the ability to stay agile and move at pace while retaining focus on longer-term ambitions.

The role of the Board has been to support and constructively challenge the Executive Committee around how we prioritise, manage risk, grow and generate future value. Focus areas in 2024 included growth within a shifting trading environment, the development of our brands and technology platforms, the use of artificial intelligence, and the evolving environmental and societal agenda. Particular focus was also paid to executive remuneration to support IHG's succession planning and talent development strategy, which is reflected in the 2025 Directors' Remuneration Policy.

Following Sir Ron Kalifa joining the Board on 1 January 2024, details of which were included in our Annual Report and Form 20-F 2023, there was one other change to the Board during 2024, with Daniela Barone Soares stepping down as Non-Executive Director at end of the year. I would like to thank Daniela for her valuable contribution, particularly in support of our Journey to Tomorrow commitments. Part of my role as Chair is to ensure our Board continues to contain a rich blend of experience, expertise and backgrounds that reflect the evolving nature of our business and stakeholder expectations, and taking into account several Board changes in recent years I am confident we have that in place.

Succession planning and talent development has been a hallmark of IHG for many years. There were two Executive leadership changes and a role expansion in 2024, with Daniel Aylmer replacing Jolyon Bulley as Greater China CEO, following Jolyon's appointment as Americas CEO, Jolie Fleming appointed as Chief Product & Technology Officer, following George Turner's decision to leave the business, and the remit of Heather Balsley expanded to include IHG's commercial function. Each individual has and continues to bring substantial and relevant industry experience, a strong track record of producing excellent results and a thorough understanding of IHG and its business, and I have great confidence in the leadership team delivering further success in what promises to be an exciting next chapter.

Shareholder returns

Following a strong financial performance this year, I am pleased to announce the Board is recommending a final dividend of 114.4 cents per ordinary share, an increase of 10% on the final dividend for 2023. An interim dividend of 53.2 cents was paid in October 2024, taking the total dividend for the year to 167.6 cents, representing an increase of 10% on 2023. An additional $800m was also returned to shareholders through a share buyback programme completed in December 2024, taking the total returns for the year to over $1bn, and the Board has approved a further share buyback of $900m for 2025. The Board expects IHG's business model to continue its strong long-term track record of generating substantial capacity to enable investment plans that drive growth, fund a sustainably growing ordinary dividend, and return surplus capital to our shareholders.

As we look to the future, we must remain alive to the potential challenges created by geopolitical and macroeconomic uncertainty and conflict in parts of the world, but the industry's long-term prospects remain attractive. Having proven its resilience over many decades, demand will continue to be driven by several fundamental factors, including people's inherent desires and needs to travel, and the growing population and rising wealth in emerging markets that further support this.

As ever, our achievements are the result of the hard work of everyone in our hotels and offices, and I look forward with confidence to further strategic progress and success in 2025. I have enjoyed meeting and spending time with colleagues, owners and guests in different markets and would like to thank our teams for their dedication and commitment to bringing our brands to life, and our owners for their long-term confidence in IHG and our brands.

Deanna Oppenheimer
Non-Executive Chair

Our brands

A brand for every occasion

Our focus on having a diverse selection of brands has transformed our portfolio, enabling us to meet the needs of a broader range of guests and owners, and grow our estate to more than 6,600 hotels globally.

Demand for branded hotels is creating fresh opportunities for expansion in high-growth markets, as guests seek new experiences and owners look to use the advantages of our scale and systems.

To meet this demand, we are investing in and strengthening the enterprise that supports our brands, from our digital channels and IHG One Rewards loyalty programme, to our hotel technology and IHG Hotels & Resorts masterbrand.

Illustrating the confidence owners have in IHG, we celebrated the opening of 371 hotels in 2024 and the signing of another 714 into our pipeline, equivalent to almost two properties a day.

Our masterbrand and loyalty programme

IHG HOTELS & RESORTS

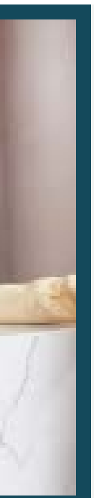
Our masterbrand is at the heart of how we promote our brands and capture demand for our hotels, with our strategy putting it in more places, more often. This includes our global Guest How You Guest marketing campaign, strategic partnerships and new 'By IHG' brand endorsement – all of which combine to lift awareness and brand favourability.

+ More on pages 32 to 33.

IHG ONE REWARDS

Our IHG One Rewards loyalty programme is critical to our business and future growth. In 2024, the programme grew to over 145 million members, who booked over 60% of all room nights globally.

+ More on pages 34 to 35.



Luxury & Lifestyle

	Six Senses	Regent	InterContinental Hotels & Resorts	Vignette Collection	Kimpton	Hotel Indigo
open	27	11	227	20	77	169
pipeline	38	9	101	35	61	130

Premium

	voco	Hualuxe Hotels and Resorts 華邑酒店及度假村	Crowne Plaza	Even
open	87	22	415	33
pipeline	90	24	140	32

Essentials

	Holiday Inn	Holiday Inn Express	Garner	avid
open	1,249	3,237	23	76
pipeline	266	637	94	137

Suites

	Atwell Suites	Staybridge Suites	Holiday Inn Club Vacations	Candlewood Suites
open	6	335	30	392
pipeline	54	157	-	183

Exclusive Partners

	Iberostar Beachfront Resorts
open	55
pipeline	7

2024 in review

Financial performance

In 2024, we delivered an excellent financial performance, with improvements across RevPAR and profit from reportable segments, alongside the return of more than $1 billion to shareholders.

Global RevPAR
+3.0%
2023: +16.1%

Net system size growth
4.3%
2023: 3.8%

Signings (rooms)
106,242
2023: 79,220

Total gross revenue in IHG's system[a]
$33.4bn
2023: $31.6bn

Total revenue
$4,923m
2023: $4,624m

Revenue from reportable segments[a]
$2,312m
2023: $2,164m

Operating profit
$1,041m
2023: $1,066m

Operating profit from reportable segments[a]
$1,124m
2023: $1,019m

Basic EPS
389.6¢
2023: 443.8¢

Adjusted EPS[a]
432.4¢
2023: 375.7¢

Dividend
167.6¢
2023: 152.3¢

Share buyback completed
$800m
2023: $750m

a. Use of Non-GAAP measures: In addition to performance measures directly observable in the Group Financial Statements (IFRS measures), additional financial measures (described as Non-GAAP) are presented that are used internally by management as key measures to assess performance. Non-GAAP measures are either not defined under IFRS or are adjusted IFRS figures. Further explanation in relation to these measures can be found on pages 103 to 108, and reconciliations to IFRS figures, where they have been adjusted, are on pages 266 to 272.

Regional growth

Strong demand globally from hotel owners for our brands was reflected in the opening of 371 hotels and 714 properties signed into our pipeline, equivalent to almost two a day.

Americas

Room openings
16,832
2023: 10,405

Room signings
26,552
2023: 28,297

+ More on page 90.

EMEAA

Room openings
23,620
2023: 21,174

Room signings
50,275
2023: 24,787

+ More on page 94.

Greater China

Room openings
18,665
2023: 16,340

Room signings
29,415
2023: 26,136

+ More on page 98.

Stakeholders

By investing in our iconic brands, leading loyalty programme, and prioritising digital innovation and sustainability, we have continued to enhance guest experiences, expand our portfolio, and deliver strong returns for our hotel owners and shareholders.

Our shareholders and investors

Our focus on strengthening the business led to strong trading, growth and shareholder returns via our cash-generative business model.

More on page 126.

- Total dividend payments of $259m and $800m share buyback completed that together returned over $1bn to shareholders for the 2024 financial year.
- New $900m share buyback programme approved for 2025.
- Americas RevPAR growth +2.5%; EMEAA +6.6%; Greater China -4.8%.
- Surpassed 6,600 open hotels; +4.3% net system size growth.
- Signings +34% year-on-year (YOY); conversions +88% YOY to reach record level.
- Operating profit of $1,041m and basic EPS of 389.6¢ achieved in the year.
- $1,124m operating profit from reportable segments[a], up +10% vs 2023.
- Adjusted EPS[a] grew +15% to 432.4¢.
- Fee margin[a] 61.2%, up +1.9%pts, driven by strong trading together with new and growing ancillary fee streams.

Our hotel owners

Owners choose to work with IHG based on trust in our brands, our ability to drive returns and our focus on controlling costs.

More on pages 22 and 42.

- Enterprise contribution of 81% of total room revenue (vs 72% four years ago), illustrating success of our loyalty programme, technology platforms, sales and distribution channels.
- Guest How You Guest campaign increased awareness of IHG Hotels & Resorts brand.
- New brand prototypes and procurement programmes launched to reduce costs.
- New US co-brand credit card agreements further drive revenue and customer loyalty.
- Agreement with NOVUM Hospitality will double presence in priority market Germany.

Our guests

We focus on ensuring the services, technology and experiences we provide meet evolving expectations and increase consumer loyalty.

More on page 42.

- Outperformed key competitors on Guest Satisfaction Index in all three regions.
- Grew loyalty members to over 145m, up from over 130m at the end of 2023.
- New and continued partnerships providing loyalty members access to music and sporting events.
- Enhanced websites and award-winning mobile app; downloads of mobile app increased more than 20% YOY.
- Updated guest room and public space designs, and food and beverage offering.

Our people

We champion a high-performance culture and focus on providing the resources, technology and environment we need to succeed.

More on page 43 and pages 53 to 57.

- Employee engagement maintained at 87%. A Mercer Global Best Employer.
- Strengthened our leadership pipeline through our accelerated talent programmes, including Journey to GM (general manager) and RISE.
- Strengthened learning and development offer through IHG® University.
- Ranked 28th on Fortune's 100 Best Companies to Work For, recognised as a top company for women in the US by Forbes, certified as one of Singapore's and Greater China's Best Workplaces 2024, and in the top 10 on Financial Times Europe's Diversity Leaders 2024 list.

Our communities and suppliers

We aim to improve millions of lives by supporting disaster relief, tackling food poverty, and providing skills training for social and economic change.

More on page 43 and pages 58 to 59.

- Launched global partnership with Action Against Hunger to help tackle food insecurity and deliver lasting change in thousands of communities.
- Supported charities providing aid following 27 natural disasters.
- Refreshed IHG® Academy, giving over 43,000 people free access to skills and training.
- Over two million lives improved through community partnerships and programmes, Giving for Good month and partnership with Action Against Hunger.

Our planet

We are committed to reducing carbon, waste and water usage to operate and grow with our owners in ways that minimise our impact on the planet.

More on pages 60 to 63.

- 11.5% reduction in carbon emissions per available room and a 9.4% reduction in energy per available room compared with 2019 baseline. Total carbon emissions increased 7.2% over the same period.
- Launched Low Carbon Pioneers programme to help encourage wider adoption of carbon reduction practices across IHG's estate.
- Introduced brand standards removing single-use plastic bottles from guest rooms and meetings in Europe.
- Updated IHG Green Engage® environmental platform to strengthen hotel measurement of energy, water and waste.

2024 in review continued

From growing our brands and elevating the guest and owner experience, to strengthening our enterprise and caring for the world around us, here are some of the highlights of 2024.

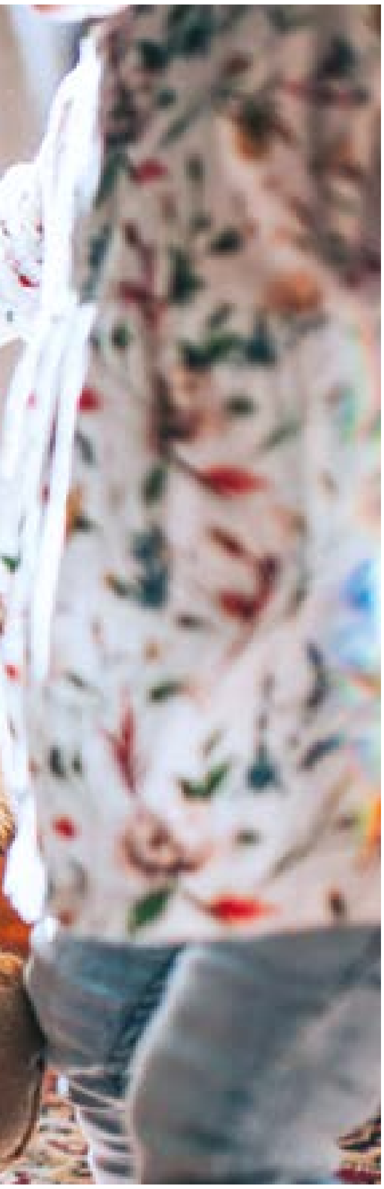
From special moments…

Going the extra mile for our guests.

In 2024, we maintained our outperformance versus key competitors on the Guest Satisfaction Index in all three regions, with our success down to those all-important personal touches. Take the Holiday Inn Express® in Richmond, Virginia, whose staff not only found a four-year-old's lost beloved soft toy but took it on a tour of the hotel before returning it to its happy owner complete with pictures and a story of its fun adventure. Now that's True Hospitality for Good.

A warm welcome at more fantastic hotels.

From the mountains of Japan and foodie hotspots, to the white-sand beaches of the Maldives and vibrant city centres, we celebrated opening 371 hotels in 2024, as well as signing 714 more – equivalent to almost two a day.



A Mercer Global Best Employer.

We are proud to say IHG is a business all about people, with a rich culture and a place where colleagues get behind our strategy to be the hotel company of choice for guests and owners. In 2024, this was reflected by maintaining our high overall employee engagement score of 87% and being named a Mercer Global Best Employer.

Fighting food insecurity with Action Against Hunger.

We announced a multi-year partnership with Action Against Hunger, one of the world's largest NGOs combating hunger. Helping to support and fund its nutrition programmes, this work complements existing partnerships IHG and its hotels have in many local markets that together aim to strengthen the food system in a community – from providing tools and training to reduce food waste, to diverting surplus food to those in need.

...to better futures

2024 in review continued

From rewards...

Loyalty that keeps on growing...

Fuelled by new partnerships, more points and fresh stay experiences, our IHG One Rewards loyalty programme grew to more than 145 million members in 2024.

A powerful commercial engine.

The success of our commercial engine across our loyalty programme, technology platforms, sales and distribution channels was illustrated by the percentage of room revenue booked through IHG-managed channels and sources reaching 81% for 2024 – up 9% in four years.

Getting noticed in all the right places.

Our masterbrand strategy continued to drive awareness of the IHG Hotels & Resorts brand as we launched a new chapter for our Guest How You Guest global marketing campaign, secured new partnerships with sporting events and music festivals, and began rolling out a simplified 'By IHG' brand endorsement.

Leading the way in luxury.

We have built one of the world's largest Luxury & Lifestyle portfolios in recent years to meet growing demand for one-of-a-kind travel experiences. Momentum continued to build in this higher-fee segment in 2024, with 46 properties awarded prestigious Condé Nast Traveler Readers' Choice Awards and 14 earning Michelin Keys.

...to awards

2024 in review continued

From East...

Milestone moments in Greater China.

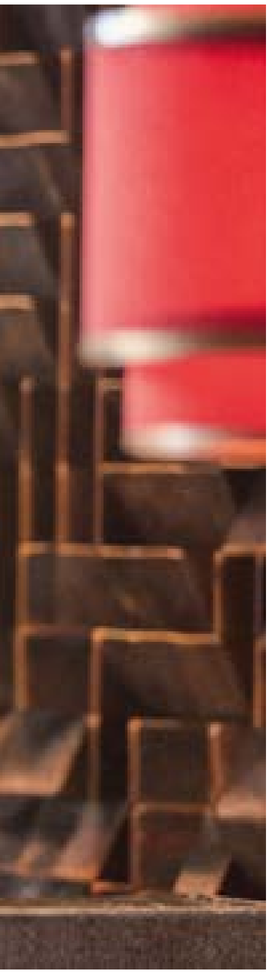
We strengthened our position as one of the leading international hotel companies in Greater China by reaching 789 open hotels by the end of 2024. At the start of 2025, we reached a landmark 800th hotel opening, along with celebrating IHG's 50th anniversary in the region.

Reducing waste in our hotels.

Building on the important work we have been doing to reduce waste in our operations for many years, we made further progress against our commitments by introducing two new brand standards to remove single-use plastic bottles in guest rooms and across meetings and events in Europe.

Growing demand for co-brand credit cards.

Our US co-brand credit card holders stay more and spend more in our hotels, and 2024 was a record-breaking year for new applications, with double-digit percentage growth in total card customers. We also signed new card agreements during the year that will significantly increase revenues for IHG in the years ahead.



Taking our brands to new markets.

Demand for our brands stretched far and wide in 2024, with 29 debut openings for individual IHG brands across the globe. This included Staybridge Suites opening its doors for the first time in Spain and our first opening for Vignette™ Collection in the Maldives. We also saw the return of Regent® Hotels to the Americas – the Regent Santa Monica Beach.

...to West

Chief Executive Officer's review

"I am incredibly proud of the work being done to accelerate performance, grow our outstanding brands around the world, and take IHG Hotels & Resorts to its full potential."

Elie Maalouf
Chief Executive Officer

371
hotels opened
(2023: 275)

714
hotels signed
(2023: 556)

44%
of total openings and signings were for our Holiday Inn® Brand Family

21%
of our pipeline now represented by Luxury & Lifestyle brands

+3.0%
global RevPAR growth

119
hotels signed through initial agreement with NOVUM Hospitality that doubles our presence in Germany

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In my first full year as Group CEO, I am incredibly proud of the work being done to accelerate performance, grow our outstanding brands around the world, and take IHG Hotels & Resorts to its full potential as the hotel company of choice for guests and hotel owners.

We began 2024 by evolving our strategy to best capitalise on the investments we have made in our brands and enterprise platform in recent years, and I have been hugely impressed with how colleagues have got behind our plans. We have built real momentum over the past 12 months characterised by growth of not just our brands but also our technological capabilities, loyalty programme and ability to be a force for good in our communities.

Collectively, our work is resonating with stakeholders, driving awareness of our portfolio and consumer preference for our brands, strengthening our reputation as a valued partner with owners, and building further trust in IHG. I have seen this first-hand during visits to many markets around the globe to speak with colleagues, owners, shareholders and investors.

Strategic progress

In 2024, we expanded into new markets, with many of our brands making their debuts in new countries. We also strengthened our presence in high-growth markets such as Greater China, India, Japan and Saudi Arabia, as well as Germany, where we signed a long-term agreement with NOVUM Hospitality that doubles our presence there and secures European debuts for Garner™ and Candlewood Suites®.

Quality remains key to maintaining the trusted reputation of our brands, and fresh design and service concepts supported our Holiday Inn Brand Family in generating 44% of openings and signings. Momentum also continued to build behind our newer brands, including Garner, which in its first full year since launch reached 117 open and pipeline hotels. Its excellent progress illustrates appetite for quicker-to-market conversions, which represented around half of total room openings and signings in 2024.

We have transformed our position in Luxury & Lifestyle in recent years, with our brands now representing 14% of our system size and 21% of our pipeline. Flagship openings included Regent Santa Monica Beach in the US and Six Senses Kyoto in Japan, while Vignette Collection is tracking ahead of schedule, having surpassed 50 open and pipeline hotels just three years since launch.